Makoto Tanaka

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EDUCATION

Ph.D. in Economics, University of Virginia	Expected May 2027
M.A. in Economics, Hitotsubashi University	March 2019
B.A. in Economics, Hitotsubashi University	March 2017
Exchange Program, Chinese University of Hong Kong, Hong Kong, China	2014–2015

FIELDS OF INTEREST

Macroeconomics, Monetary Economics, Fiscal Policy, Applied Time Series

JOB MARKET PAPER

Fiscal Beliefs and the Transmission of Fiscal Policy under Imperfect Knowledge

Summary. Fiscal expansions raise long-run inflation expectations, while persistent deficits and government debt are associated with inflation and long-run inflation expectations in opposite directions. Because deficits and debt are linked through the intertemporal government budget constraint, these patterns raise the question of whether households fully internalize that relationship when forecasting future fiscal adjustment. I study this in a New Keynesian model in which households must learn the timing and magnitude of fiscal adjustment from observed macroeconomic outcomes. When households do not fully understand how current fiscal positions translate into future adjustment, deficits and debt can have distinct perceived wealth effects that need not offset in equilibrium. Persistent deficits can stimulate consumption when households anticipate insufficient future adjustment, while persistently higher debt can depress consumption when it signals greater future fiscal burdens under their subjective beliefs. These perceived wealth effects make fiscal disturbances non-neutral, even when monetary policy targets inflation and fiscal policy stabilizes debt. As households learn from macroeconomic experience, the same fiscal expansion can generate different output and inflation responses depending on their evolving beliefs. The findings highlight that both the effectiveness of fiscal policy and the anchoring of long-run inflation expectations depend not only on what fiscal policy does, but also on what households believe it will do.

WORKING PAPERS

- Fiscal Information and Time Varying Inflation Target
- Military Spending and Crowding-Out Effects: Evidence from Sub-Saharan Africa (with Antonio C. David, Elisee Miningou, Rasmane Ouedraogo, Alex Vaval Pierre-Charles). *IMF Working Paper*; Revise and Resubmit at *World Development*
- Looking Through Energy Shocks under Incomplete Information (with Martin Arazi)

WORK IN PROGRESS

- FX Interventions and Low Frequency Deviations of UIP in Emerging Economies (with Jose Ferrer)

TEACHING EXPERIENCE

Teaching Assistant, University of Virginia 2022–present

Introduction to Macroeconomics; Introduction to Econometrics; Econometric Methods; Behavioral Finance.

RESEARCH EXPERIENCE

Research Assistant for Professor Felipe Saffie, University of Virginia 2024–2026

Research Assistant for Professor Yoichi Sugita, Hitotsubashi University 2019–2021

Research Assistant for Professor Yukiko Saito, RIETI 2019–2021

PROFESSIONAL EXPERIENCE

Ph.D. Intern, Bank of England Summer 2026

Fund Internship Program (FIP), International Monetary Fund Summer 2025

PRESENTATIONS

2026: IDE-JETRO; Bank of England Brown Bag; Bank of England MPSD; Workshop for Young Macroeconomists (scheduled); SEA Annual Meeting (scheduled)

2025: IMF AFR

HONORS, AWARDS, AND FELLOWSHIPS

Bankard Pre-Doctoral Fellowship 2026–2027

Japan IMF Scholarship 2021–2023

Hitotsubashi University Study Abroad Scholarship 2014–2015

SKILLS

Programming: R, Python, Matlab, Stata, LaTeX, SQL
Languages: English (Fluent), Japanese (Native), Chinese (Intermediate)

REFERENCES

Eric Leeper
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